

A Flexicap Approach: Staying the Course in Volatile Markets



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Retail investors face a familiar problem in unfamiliar circumstances. Equity markets are expensive, leadership is narrow and volatility lurks beneath the headline indices. Staying invested makes sense but staying comfortable does not. The challenge lies not in the question – whether to own the equities? but it is in the – how to own them, without courting unnecessary damage when the valuations eventually mean-revert.

The solution is flexi-cap mutual funds, it offers one answer and that is – not by predicting the market tops, but by allowing the portfolios to adapt as the cycles evolve. Their appeal lies less in the stock selection prowess and more in the structural flexibility.

Most equity fund categories operate with regulatory handcuffs. Large-cap funds must keep at least 80 per cent of the assets in the biggest listed companies,

regardless of whether those stocks are cheap or crowded. Multi-cap funds are required to maintain a fixed minimum allocation of 25 per cent across the large-cap, midcap and the small-cap stocks, often forcing capital into the overheated segments during the exuberant phases. Such rigidity can be costly especially when the valuations stretch unevenly across the market.

Flexi-cap funds, by contrast, face no such constraints. Fund managers can move capital freely across the market-cap segments, from zero to 100 per cent, guided by the valuation spreads, earnings visibility and the macro signals. This discretion matters in the markets where dispersion — between the winners and the laggards, the defensives and the cyclicals — is widening.

In late-cycle conditions, large-cap stocks typically offer relative safety, stronger balance-sheets, more predictable cash flows and better access to the capital. Flexi-cap funds can tilt portfolios towards these names when economic momentum softens or when the risk appetite fades. When growth broadens or when the specific midcap and the small-cap companies exhibit improving profitability and governance, exposure can be selectively increased — without committing the entire portfolio to higher beta.

The payoff is not immunity from the drawdowns, but moderation. By avoiding forced exposure to the most exuberant parts of the market, flexi-cap funds aim to reduce the risk of sharp capital erosion. At the same time, they

preserve optionality — the ability to participate when leadership rotates or when a handful of emerging companies deliver disproportionate returns.

This feature is particularly relevant for the retail investors, who tend to respond poorly to volatility. Sudden drawdowns often trigger redemptions at precisely the wrong point in the cycle, locking in the losses and undermining the long-term returns. A more balanced equity exposure, even at the cost of underperforming in euphoric phases, can help the investors stay the course.

Critically, flexi-cap funds should not be mistaken for defensive products. They remain fully exposed to the equity risk and will fall when the markets fall. Their advantage lies in the risk distribution and not in the risk elimination. Performance also depends heavily on the managerial discipline; unconstrained mandates amplify both skill and error.

Over longer periods, however, flexi-cap funds have tended to behave as steady compounders rather than being the momentum vehicles. By reallocating capital as valuations shift, they seek to deliver superior risk-adjusted returns compared with pure midcap or small-cap strategies, which can suffer prolonged drawdowns after the cycles turn.

For investors navigating the stretched valuations, with limited tolerance for sharp losses, flexi-cap funds offer a pragmatic compromise. They sacrifice the predictability of category exposure in exchange for adaptability. In uncertain markets, that trade-off may be worth making.